CHARTERED ACCOUNTANTS ACADEMY

AUDITING DEPARTMENT

CERTIFICATE OF THEORY IN ACCOUNTING

STUDY UNIT 5 - PRE-ENGAGEMENT ACTIVITIES

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1. INTRODUCTION

The first phase of the audit process is the preliminary engagement activities. The terms preliminary engagement activities and pre-engagement activities can be used interchangeably in questions.

Preliminary engagement activities take place before the auditor accepts or declines an audit engagement. These activities are performed when the auditor has to decide to accept a new client or to continue the relationship with an existing client.

2. Objective of Pre-Engagement Activities

Amongst other, key objectives of this study unit are to:

- Explain the matters that the auditor should consider when deciding whether to accept a new client or continue performing audit services for an existing client;
- Evaluate the audit work performed when accepting new clients by referring to ISQC1, ISA 220, ISA 300 and the CPC;
- Describe the procedures that need to be performed (by the auditor and the client) when a new auditor is appointed;
- Understand the purpose of an engagement letter;
- Critically evaluate the compliance of an engagement letter with the requirements of ISA 210 and
- Understand the role of the engagement letter in limiting auditor liability.
-

3. Study Material and Relevant ISAs

- CAA Applied Auditing and Governance AUD 402 Module 1
- ISA 210: Agreeing the terms of audit engagements.
- ISA 220: Quality control for an audit of financial statements.
- ISA 300: Planning an audit of financial statements.
- ISA 600: Special considerations – Audit of group financial statements (including using the work of component auditors).
- ISA 610: Using the work of internal auditors.
- ISA 620: Using the work of an auditor's expert.
- ISQC 1: Quality control for firms that perform audits and reviews of financial statements, and other assurance and related services engagements.
- Legislation: Companies and Other Business Entities Act
- Framework: CPC

4. Competence Framework expectation

COMPETENCE	Level	A CANDIDATE SHOULD BE ABLE TO	Level
Identifies and considers issues related to accepting an engagement	I	• Gather and examine information pertaining to a potential client and engagement to assess whether or not there are significant threats to the adherence to ethical requirements and professional standards and legislation resulting from undertaking the engagement. • Utilise the understanding gained of the elements of risk and the decision factors to evaluate the overall risk in accepting the engagement • Conclude on whether to accept the engagement	I
Follows prescribed procedures to accept the engagement	X	• Draft an appropriate engagement letter for a new engagement • Recognise circumstances when a new engagement letter needs to be issued for existing engagements • Follow the procedures required by legislation or professional pronouncements to accept appointment	X

5. Examination possibilities

Highly examined in a question that requires activities to be done before accepting an audit client.

6. Assumed Knowledge

The audit process is assumed knowledge which you should already have at CTA level.

7. Integration

This topic integrates with the audit process, Companies and Other Business Entities Act and code of professional conduct.

8. Course Notes

8.1. Overview of pre-engagement activities:

As per ISA 300 par 6 the auditor shall undertake the following activities at the beginning of the current audit engagement:

a) Performing procedures required by ISA 220 regarding the continuance of the client relationship and the specific audit engagement;
b) Evaluating compliance with relevant ethical requirements, including independence in accordance with ISA 220; and
c) Establishing an understanding of the terms of the engagement, as required by ISA 210.

8.2. Key areas of focus:

As per ISA 220 par 12 and A8 and ISQC 1 par 26, before an audit firm can accept or continue a client relationship, the firm has to consider the following:

Considerations	Explanation
Whether the engagement team is **competent** to perform the audit engagement and has the necessary capabilities, including **time and resources** to do so.	Before accepting the engagement, the engagement partner shall assess the following: ▪ The audit team's experience with audit engagements of a similar nature and complexity. ▪ Whether the firm has sufficient personnel with the necessary competence and capabilities. ▪ The technical expertise within the team or access to other auditors or experts that do have the relevant expertise (ISA600, ISA610 and ISA620). ▪ Knowledge of the relevant industry in which the client operates. ▪ The ability to comply with the firm's quality control policies and procedures as per ISQC1. ▪ The availability of personnel to perform quality control reviews. ▪ The ability of the engagement team to complete the engagement within the reporting deadline.
Whether the audit firm and engagement team can comply with the relevant ethical requirements. ***(Think independence and compliance with the CPC) – refer to study notes in the next subsection***	The partner should assess whether there is any threat to compliance with fundamental principles and independence requirements by considering the following: ▪ Whether there are any threats to independence and compliance with the fundamental principles, ▪ Evaluating the significance of the threats. ▪ Identifying safeguards to reduce or eliminate the threats. ***Exam focus: All members of the engagement team are required to be independent of the client.***

Evaluate the client's **business standing and the integrity** of the principal owners, key management and those charged with governance of the entity (ISQC 1 par A19)	You should consider the following in making the evaluation: ▪ The identity and business reputation of the client's principle owners, key management, and those charged with governance; ▪ The nature of the client's operations, including its business practices. ▪ Any indications that the client will impose a limitation on the audit; ▪ Indications that the client might be involved in any criminal activities; ▪ The reasons for the proposed appointment of the firm and non-reappointment of the previous firm; ▪ Whether the client is able to pay the audit firm on time
Other significant matters	▪ Any changes that occurred during the year for existing clients. ▪ Information obtained from communication with the predecessor auditor (ISA 300 par 13(b)) ▪ Whether there is a legal vacancy to appoint the auditors
Establishing the terms of the engagement – ISA 210	After the auditor has considered the above four aspects, the terms of the audit must be agreed upon. ***The auditor may only accept a new client or continue an audit engagement if the terms of the audit has been agreed upon.*** Refer to ISA 210 appendix 1 for an example of an engagement letter: ***Exam focus: Separate engagement letters should be prepared for non-audit services to be performed by the auditor.***

Exam focus point

An auditor has to evaluate the above considerations before deciding whether or not to accept an audit engagement. In answering an exam questions you should apply the above considerations to the information provided in a question.

Examples of procedures that may be performed as part of pre-engagement activities:

- ❖ With the client's permission communicating with the predecessor auditing;
- ❖ Inspection of prior year audited financial statements for financial standing of the client and the type of opinion issued in the prior year.
- ❖ Discussions with management to obtain an understanding of the client's operations.

- ❖ Searches from the public domain (e.g. internet, publications) in respect of management integrity.
- ❖ Obtaining references about the directors from third parties
- ❖ Review the firms overall work programmes to ensure there are sufficient resources to enable the firm to carry out the audit.

8.3. Establishment of the terms of the engagement

After the auditor has considered the above four aspects, the terms of the audit must be agreed upon. The auditor may only accept a new client or continue an audit engagement if the terms of the audit has been agreed upon.

ISA 210 par 9-10 states that the agreed terms of the audit engagement shall be recorded in an audit engagement letter and shall include:

1. The objective and scope of the audit of the financial statements;
2. The responsibilities of the auditor;
3. The responsibilities of management;
4. The identification of the applicable financial reporting framework for the preparation of the financial statements; and
5. Reference to the expected form and content of any reports to be issued by the auditor and a statement that there may be circumstances in which a report may differ from its expected form and content.

Refer to ISA 210, par 9 to 12 for the agreement on audit engagement terms and ISA 210 Appendix 1 for an example of an audit engagement letter.

8.4. Nature of questions:

Question	Explanation
Discuss the factors that should have been considered prior to accepting the engagement	In this type of question students will be expected to discuss with reference to information in the scenario the key considerations as identified above. Students should ensure that whatever factor they consider is relevant to the information as given in the exam scenario.
Describe the procedures that should be performed before accepting the engagement	Students will be expected to identify procedures they would perform to gather information/evidence which will be relevant to the client acceptance decision.

Critically evaluate the client acceptance procedures as documented in working paper WP/101	These type of questions should be addressed from a reviewer perspective where the students should assess the following: ▪ Completeness of client acceptance procedures performed. ▪ Appropriateness of procedures performed, and conclusions reached.

9. QUESTION ON PRE-ENGAGEMENT ACTIVITIES

Comfy Pharmaceuticals

You are an audit partner in the firm Homwe Shambare Auditors ("HSA"), a big four audit firm with a global network of firms. During the monthly partner meeting you were informed that you are the new audit partner in charge of the audit of Comfy Pharmaceuticals (Private) Limited ("Comfy") as the previous partner in charge of the Comfy audit had resigned with immediate effect and has taken up the CFO position at Comfy's holding company in New York.

Comfy is a pharmaceutical company which sells patented drugs from its Pharma Division and generic drugs from its Care Division. All the drugs sold by Comfy are imported from Switzerland, India and the United States. Comfy supplies hospitals and clinics in both the public and private sector. The ultimate holding company of Comfy Pharmaceuticals is Comfort PLC, a company listed on the New York Stock Exchange. Comfy contributes 40% to Comfort's profit for the year mostly due to Comfy winning the Ministry of Health and Child Welfare tender to supply all clinics and hospitals with the anti-retroviral drug used to treat patients with HIV/AIDS.

An emergency meeting was held on 10 September 2017 with the CEO Janet Chinamhora (whom you recognised on introduction as your primary school friend), a qualified pharmacist, mostly to assure her that despite the previous partner taking up a new position as her boss, HSA was committed to continue providing the best audit services to Comfy. The meeting also served as an initial scoping meeting, as the audit for the year ended 31 August 2017 was to commence in a few weeks' time. The minutes of the meeting have been documented by HS Trainee who also obtained additional information from Janet and documented the additional information in the following working papers for your review.

WP 105	Minutes of scoping meeting
WP 115	Summary of events relating to the investment in preference shares
WP 125	Services provided by ZPD to Comfy Pharmaceuticals

Client: Comfy Pharmaceuticals	**Year-end: 31 Aug 2017**	**WP 105**
Prepared by: HS Trainee	**Date: 10 Sep 2017**	
Reviewed by:	**Date:**	
Subject: Minutes of Meetings – Scoping meeting		

Extract of minutes of scoping meeting

Janet Chinamhora (CEO, Comfy Pharmaceuticals)
Fourth Year Partner (HSA Auditors)
Homwe Shambare Trainee (HSA Auditors)

The following matters were discussed:

Results of the business for the year ended 31 August 2017

- The introduction of Medicine Pricing Regulation in Zimbabwe on 2 January 2017 has had a severe impact on the business. The Pharma Division of Comfy usually pulled the company into a net profit position but due to the mandated reduction of prices on patented drugs, the Pharma Division made a loss for the 2017 financial year for the first time since the company's inception in 2004.

- Conversely, revenue at the Care Division of Comfy has increased substantially for the 2017 year due to the sale of anti-retroviral drugs. Ministry of Health and Child Welfare contracts to sell anti-retroviral drugs were negotiated at the Company's inception in 2004 for a period of 20 years and were negotiated at a low margin so as to establish a relationship with the Ministry of Health and Child Welfare. Due to the increase in labour costs in India (Comfy purchases anti-retroviral drugs from a supplier in India) and the cost of importing anti-retroviral drugs exceeds the revenue from those contracts. Despite revenue increasing substantially, the Care Division and Comfy Pharmaceuticals are reporting a loss for the year ended 31 August 2017.

Client: Comfy Pharmaceuticals	Year-end: 31 Aug 2017	WP 105 (continued)
Prepared by: HS Trainee	Date: 10 Sep 2017	
Reviewed by:	Date:	
Subject: Minutes of Meetings – Scoping meeting		

New developments during the year ended 31 August 2017

- The loss reported has raised eyebrows and tempers at Comfort Headquarters in New York, and both the Group CEO and CFO had started sending strongly worded emails to Janet demanding that a full review of the internal control environment be done and improvements implemented by February 2017, after which a team will be sent from New York to report back. An unfavourable internal control report will likely cost Janet her job. Janet states that emails regarding implementation of a strong control environment and reporting on the effectiveness of the internal controls have been requested by head office every 3 months since she started at Comfy in 2006. However, she has been too pre-occupied running the company to worry about internal controls, and as long as Comfy was making profits, she figured that Comfort would be happy about that. Janet requested that HSA send a team to review and implement any changes required with regards to the control environment, as her staff are already stretched. She said that HSA can quote any fee and she will be happy to pay as it is her job on the line.

- Comfy purchased unlisted cumulative preference shares in Brumbey (Private) Limited in the prior year as a strategic investment, however, dividends on these preference shares have ceased. Janet was only recently made aware of this development and agreed to provide any information that she received to HS Trainee.

- Comfy received communication from Zimbabwe Pharmaceutical Distributors ("ZPD") who manage all the customer orders and customer deliveries, inventory and accounts receivable for Comfy. The shareholders of ZPD have requested that the pharmaceutical companies it services (Comfy is one of four pharmaceutical companies to which ZPD provides services) bid for ZPD's shares as they wish to sell the shares. Janet requested that you assist in the preparation of the bid as 'Comfy needs to win this bid as much as HSA needs to retain the comfy audit'. Preparation of the bid, Janet explained, would include our firm performing some due diligence procedures in order to enable us to determine a reasonable purchase price per share of ZPD. Janet agreed to provide HSA with the document detailing the procedures ZPD perform for Comfy.

Required

a)	**Discuss the ethical matters you should consider as the new audit partner of Comfy Pharmaceuticals.**	**12**

Solution:

- Consider whether I have the necessary skills and pharmaceutical industry experience to sign off on the Comfy Pharmaceuticals audit. (1)
- Consider whether I have sufficient capacity in terms of other client commitments to be able to lead the Comfy Pharmaceuticals audit. (1)
- Consider whether I am susceptible to undue influence from my former colleague who is now the CFO of the Comfy's ultimate holding company Comfort. (1)
- Janet is a childhood friend; consider whether leading the audit creates a familiarity threat. (1)
- Consider whether any safeguards can be put in place to reduce the familiarity threat to an acceptable level. (1)
- Consider whether the internal control assessment service creates a self-review threat as it relates to controls over financial reporting which will be part of the audit. (1)
- Consider safeguards that can be put in place to reduce the self-review threat to an acceptable level. (1)
- Consider whether the fee for the internal control service is a reflection of the service being performed. HSA may be tempted to overcharge due to Janet willing to pay any amount. (1)
- Consider whether assistance in preparation of the bid for ZPD results in an advocacy threat. (1)
- Consider the safeguards that can be put in place to reduce this threat to an acceptable level. (1)
- Consider whether Janet's comment on Comfy needing to win the bid as much as HSA needs to retain the audit indicates an intimidation threat. (1)
- Consider the safeguards to be put in place to reduce the threat to an acceptable level. (1)
- Consider whether the performance of non-audit services (internal controls, due diligence) results in HSA making managerial decisions. (1)
- Consider whether the non-audit services requested by Janet are allowed by the Comfy's policy on extent of non-audit services that can be provided. (1)

Available: 14 **Max: 12**

Simbi Brands Ltd

Castle & Beckett Chartered Accountants (C&B), a medium sized audit firm, were recently appointed as the new auditors of Simbi Brands Limited (SBL) for the financial year ended 31 December 2016. C&B won this engagement after having gone through a rigorous tendering process, as the SBL board wanted auditors who had a thorough understanding of SBL. The previous auditors of SBL had cited capacity constraints given the growth that SBL has seen over the years and had therefore not put themselves up for re-appointment. Given the size of SBL's operations, the engagement partner on the audit has indicated that he will need at least half of the staff compliment at C&B once the 2016 audit for SBL commences. SBL intends to publish its 2016 annual report by the 28th of February 2017, as they are targeting to raise capital through a rights issue in March of 2017.

You are a 3rd year trainee account at C&B and are currently working on the SBL 2016 financial year audit. The following working papers have been extracted from the 2016 audit file:

Work paper	Description
101	Understanding the entity – company structure
201	Extract of 2016 financial statements
501	Revenue system description

Entity Name	Simbi Brands Limited	Year End	31 December 2016	W/P 101
Prepared by	E Mayo	Date	11 November 2016	1/2
Reviewed by				
Audit section	Understanding the entity			

The Simbi Brands Limited Group arose from the unbundling of the Innsca Africa Limited (Innsca) Quick Service Restaurants (QSR) business on 1 October 2015. At a meeting of the Board of Innsca, held on the 22nd May 2015, and at a subsequent Extraordinary General Meeting, the Directors and Shareholders of Innsca, respectively, approved the unbundling and listing of the QSR Business from Innsca to become a stand-alone business to capitalize on its achievements to date and for it to benefit from a renewed and specific focus.

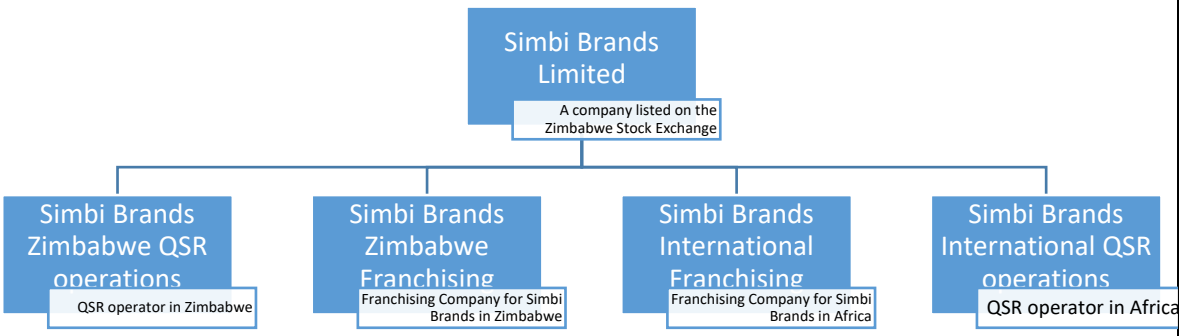
Simbi Brands Limited (a Company incorporated in Zimbabwe on 5 August 2015 as a wholly owned subsidiary of Innsca) acquired through a scheme of reconstruction, the assets and liabilities of the QSR Business of Innsca effective 1 October 2015, in exchange for issuing 541,593,440 shares in the Company to Innsca. Innsca distributed the entire share capital of Simbi to shareholders of Innsca registered as such on end of business on the 30th of October 2015 through a dividend in specie at a ratio of one (1) share in Simbi for everyone (1) existing Innsca share held. On 6 November 2015, Simbi Brands Limited listed as a separate standalone entity on the Zimbabwe Stock Exchange.

The QSR business opened its inaugural Chicken Inn outlet in Harare, Zimbabwe in 1987. Since then the QSR Business has expanded with the addition of new brands and the franchising of existing brands. The business has grown to own and franchise outlets across Africa, including Zimbabwe, Zambia, Kenya, DRC, Ghana, Malawi, Namibia, Botswana, Mauritius, Swaziland and Lesotho. A major contributing factor to the success of the business has been the strategic and well thought out location of outlets. Simbi stores can be found along busy track routes, in central business districts, in urban areas and in food courts, all of which ensure consistent access to large volumes of consumers.

The business is unique in that it not only owns the Intellectual property rights of the brands within its portfolio but also owner-operates most of its outlets. Furthermore, the business owns the master license to other successful brands such as Galito's Africa, Nando's (Zimbabwe only), Steers (Zimbabwe only), and Vida E Caffé (Mauritius only)

Entity Name	Simbi Brands Limited	Year End	31 December 2016	W/P 101
Prepared by	E Mayo	Date	11 November 2016	2/2
Reviewed by				
Audit section	Understanding the entity			

SBL operates four business units, each operating as an independent business centre:



Extract from the 2016 Chairman's report:

The business in Zimbabwe continues to be resilient, despite the current macro-economic challenges. Zimbabwe contributed 62% of group revenue. Management introduced new innovative products across the major brands and are consistently re-engeneering the menus so that they appeal to the ordinary citizen to counter the expected drop in average spend. Simbi opened a net of 7 new outlets (opened 18 new outlets and closed 11), in the period. The recent roll outs take our store count to 188 outlets across Zimbabwe. Our strategy is to achieve greater internal operational efficiency on our current outlets and maintain excellent customer experience through training of staff and investment in human resources and information technology.

Entity Name	Simbi Brands Limited	Year End	31 December 2016	W/P 201
Prepared by	S Takunda	Date	15 January 2017	1/2
Reviewed by				
Audit section	Extract of 2016 Draft financial statements			

Extract: Statement of profit or loss for the year ended 31 December 2016

		2016	2015
	Notes	USD	USD
Revenue	1	108,262,996	89,890,456
Operating profit		9,449,677	6,344,567
Profit before tax		3,804,841	1,223,456
Extract: Statement of financial position as at 31 December 2016			
Non-Current Assets			
Property, plant and equipment	2	56,135,372	48,908,322
Intangible assets	3	601,642	120,650
Deferred tax asset	4	422,308	320,000
Current Assets			
Cash and cash equivalents		1,861,140	1,300,783
Other current assets	5	8,461,802	5,489,300

Notes:

1. Revenue
   Included in the 2016 revenue figure for the year is franchise fee income of $1,494,191 (2015: $1,200,400). SBL has standard franchise agreements that it uses when the company engages a franchisee and the key terms from the agreement are as follows:
   a. Each agreement is for an initial period of 5 years, which is renewable subject to the franchisee meeting all SBL's renewal terms;
   b. All new franchisees pay an upfront non-refundable fee ranging between $5,000 to $10,000 depending on location;
   c. Monthly franchise fee of 3% of the franchisees monthly revenue subject to a minimum fee of $500;
   d. Annual marketing fees of $1,000 which are payable at the beginning of each year; and
   e. All franchisees are subject to an annual inspection by SBL as part of the quality monitoring process.

During the year SBL entered 20 new franchise agreements with 8 having been cancelled during the same period.

Entity Name	Simbi Brands Limited	Year End	31 December 2016	W/P 201
Prepared by	S Takunda	Date	15 January 2017	2/2
Reviewed by				
Audit section	Extract of 2016 Draft financial statements			

2. Property, Plant and Equipment
   During the year SBL acquired new equipment for use in its flagship Chicken Inn brand to replace the old ageing equipment that was being used. SBL borrowed $1,000,000 from Afriexmibank to finance the acquisition of the equipment and the loan is repayable over 5 years and carries interest at 12% per annum. The equipment was received from China in June 2016 and was brought into use in the same month. The invoice cost charged by the Chinese to ship the equipment up to Durban South Africa was 4,000,000 Chinese yuan.

   On 1 July 2016, the SBL board of directors approved the sale of the old ageing equipment which had been replaced by the new equipment from China. Since the approval management have been placing adverts in local newspapers advertising the sale of the equipment. On that date, this equipment had a carrying amount of $60,000 after considering the depreciation charge up to that date. The value in use and fair value less cost to sale were determined to be $55,000 and $45,000 respectively.

3. Intangible assets
   Included in the intangible assets balance is an amount of $300,000 incurred in acquiring a Portuguese fast food brand Calito's. In terms of the purchase agreement SBL will have rights to use the brand for a period of 10 years which may be renewable for a further 3 years at the option of SBL. SBL's accounting policy is to measure these brands at amortized cost using the straight-line method.

4. Deferred tax assets
   The deferred tax assets were recognized in respect of assessed losses incurred by SBL over the 3-year period of 2010 to 2012.

5. Current assets
   Included in the current assets balance is an amount of the old ageing equipment referred to in note 2. As at year end SBL was yet to find a buyer for the equipment and an independent valuer determined that the fair value less cost to sale was $35,000 as at that date.

Entity Name	Simbi Brands Limited	Year End	31 December 2016	W/P 501
Prepared by	N Kunashe	Date	13 January 2017	
Reviewed by				
Audit section	System description: Revenue System			

As part of the 2016 audit you were provided with the following documentation of the sales system used in SBL's Chicken Inn drive through restaurants.

Each drive through restaurant has a computerized Sales module called TKTS which provides reports daily of details of items sold, the number of sales at full price and the number of items sold under discounted models, price paid per order and the name of the customer if they have used any form of discount card. The following detailed process is followed when customers are making purchases through the drive through restaurant:

Ordering:
Waiters at the ordering point capture customer order details onto the TKTS sales module. Each waiter has an allocated unique username and password which they use to gain access into the sales module. The sales automatically request each waiter to change their passwords on a 3-monthly cycle. Once a waiter gains access to the TKTS sales module they only have read only access to the price master file and the inventory records. SBL conducts monthly meetings where a review of prices in the master file is done. Any updates to the sales master file are done by the head of sales who uses a unique username and password to access the sales module. On capturing a customer order the waiter enters the code of the items ordered plus the quantity ordered. The system will not process an order if the waiter captures an invalid code or does not capture the code and quantity of items ordered.

Once the customer order details are captured, the system calculates the total price based on the prices in the master file plus the quantities captured by the waiter. The sales orders generated by the system are sequentially numbered.

Payment:
When the total amount payable has been determined, a customer can make a payment by using either cash or debit card.

a. Cash payments
   When a waiter collects cash from a customer, they click the pay button on the sales modules and the till drawer then automatically opens. The waiter records the amount of cash received from the customer and the TKTS system then calculates the amount of change to be given to the customer if applicable. A receipt is then printed out with the details of the purchase and at the same time the till drawer automatically opens allowing the waiter to put the cash in the drawer and collect any change. All the cash collected is banked on a daily basis with cash counts being done monthly. The restaurant manager performs routine unannounced spot cash counts.
b. Debit card payments
   SBL uses point of sale machines allocated by its bank for all payments via debit card. If a customer is paying using a debit card the waiter enters that option

onto TKTS and then swipes the customers debit card on the point sale machine. The customer will then be requested to enter their secret pin for the payment to be processed. After this process is done the TKTS will generate a receipt with the details of the purchase.

Collection
Once the above process is completed the customer then waits in queue to collect their orders from the collection point.

All daily sales transactions are recorded and stored in a batch program file. Each night, each drive through restaurant is required to upload the batch file so that the day's sales transactions can be integrated into the main accounting system. The terminal which is used to load the files is stored in a secure room and access to the terminal is restricted by a password. Each restaurant has a communication terminal which stores the daily batch files. Files are uploaded to the head office communication terminal main server, where they are consolidated and uploaded by way of journal entry into SBL's accounting system – known as AccSys. The journal entries are prepared by an accounts clerk at head office using the information from the batch files of the individual restaurants. The group accountant reviews these journals before they are captured into the accounting records. Each restaurant has its own account in AccSys where individual sales amounts are recorded.

Monthly, each restaurant prints out a sales report from TKTS which is then sent to the head office for reconciliation with the total sales figure in the accounting system by the accountant. These reports are reviewed by the group accountant and variances are investigated and logged.

You have also been informed that the batch files that are transferred between head office and the individual shops are done via a dedicated communication line and the data is also encrypted during transmission.

REQUIRED		**Marks**
a)	**Describe the factors that would have been considered by C&B before accepting as appointment as auditors of Simbi Brands Limited for the 2016 year-end audit.**	**10**
b)	**Provide your assessment of detection risk associated with taking over Simbi Brands Limited as a client and mitigating actions to be taken by C&B to address these possible risks.**	**9**

a) Describe the factors that would have been considered by C&B before accepting the appointment as auditors of Simbi Brands Limited for the 2016 year-end audit.

	Marks
C&B would have considered the following factors before accepting the appointment as auditors of Simbi Brands Limited (SBL)	
1. Competence, Capabilities and Resources, SBL has seen growth/expansion over the years consider if	
• C&B has sufficient personnel with the necessary competence and capabilities – C&B is a medium sized audit firm, the engagement partner indicated that he will need at least half of the staff compliment at C&B once the 2016 audit of SBL commences. C&B staff compliment may not be sufficient to sustain the SBL audit.	**2**
• An Engagement Quality Control Reviewer (EQCR) is available for appointment because SBL is a listed entity and an EQCR has to be appointed.	**1**
• Firm personnel have knowledge of relevant industry – this is a new engagement of a client operating in the food industry, C&B would require personnel with a thorough understanding of the food industry.	**1**
• Firm personnel have experience with relevant regulatory or reporting requirements – SBL is operating in the food industry, which is highly regulated, they would require experience of regulatory requirements that govern the food industry.	**1**
• SBL is listed on the ZSE, consider if C&B personnel have knowledge on ZSE listed entities reporting requirements.	**1**
• SBL operates within a group, consider if C&B personnel has knowledge to audit a group, related party transactions might not be disclosed or accounted for at arm's length.	**1**
• Experts are available if needed – large volume of transactions are carried out at SBL and may require an IT expert to the audit of SBL.	**1**
• C&B personnel have knowledge on complex accounting – SBL is operating in foreign countries, translation of foreign currencies for financial reporting involves complex accounting	**1**
• C&B is able to complete the engagement within the reporting deadline – SBL intends to publish its 2016 annual report by the 28th of February 2017, it appears a tight deadline has been set.	**1**
• This is a new engagement and more time will need to be allocated to eliminate the risks of material misstatements going undetected, C&B may not be able to meet a tight deadline.	**1**
2. Ability to comply with relevant ethical requirements	
• Consider the independence of the audit team and firm in relation to the audit of SBL	**1**

3. Integrity of client • Communicate with the predecessor to obtain the reasons for the proposed appointment of SBL and non-re-appointment of the previous firm – previous auditors cited capacity constraints resulting in the proposed appointment of C&B. • Client's ability to pay the audit fee – C&B is also in business and would want to associate with a client who is able to pay their audit fees • Issuance of an engagement letter in accordance with ISA 210	**1** **1** **1**
Total Available	**15**
Maximum	**10**

b) Provide your assessment of detection risk associated with taking over Simbi Brands Limited as a client and mitigating actions to be taken by C&B to address these possible risks.

Detection risks	
There is a risk that the auditors may not have sufficient time to obtain the audit evidence due to the tight audit deadline resulting in material misstatements going undetected.	**1**
Reliance may need to be placed on work done by the predecessor auditors in respect of opening balances which increases our detection risk if the previous auditors were not competent and independent.	**1**
C&B being the newly appointed auditors heightens risk that C&B will not detect material misstatements due to lack of knowledge of the company and the industry	**1**
SBL is operating in a highly computerized environment, without the help of an IT expert there is increased detection risk due to errors from complexity of the system, unauthorized access or lost data	**1**
Simbi opened a net of 7 new outlets, store count across Zimbabwe is 188, controls may not be operating effectively across all stores, SBL may not reach all stores as they are widely dispersed resulting in insufficient audit work being performed.	**1**
SBL is operating in foreign countries, resulting in C&B failing to gather sufficient appropriate evidence due to factors such as language barriers, travelling challenges, etc.	**1**
Mitigating actions • Introduce an element of unpredictability in testing to address fraud risk given the dispersed nature of SBL's operations. • More experienced staff or staff with special skills/IT experts should form part of the audit team • Reliance may need to be placed on SBL's internal controls given the dispersed nature of their operations. • Plan increased number of audit team members with the appropriate skill and experience to meet the audit deadline and to address the risks related to opening balances. • The audit file should be subject to a rigorous EQC review process.	**1** **1** **1** **1** **1**

Total Available	**11**
Maximum	**9**